

GS Global Equities Call FICC and Equities

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23 July 2025 | 11:06AM UTC

Here's what we're focused on this morning: SPX futures +40bps // NDX +20bps // RTY +1% // UST10yr +1.5bs @ 4.36% // WTI -55bps @ \$64.95 // Bitcoin -1.15% @ \$118,400 as global equities trade in the green following US/Japan reaching a trade agreement (15% tariff on imports including autos vs 25% initially threatened + \$550bn fund to invest in US + Japan open mkts to certain US goods). Autos around the globe are bid are lower than feared car tariff for Japan with the hope EU car makers would have similar treatment (Toyota +15%, European Autos +5-10%). US Treasury Bessent said the US & China would hold a 3rd round of trade talks next week. EPS still the main focus with GOOGL/TSLA the first mega-caps to report post close today...FTSE +60bps/DAX +75bps/CAC +1.3%/Shanghai +1bp/ Hang Seng +1.62%/Nikkei +3.51%.

Pre-mkt EPS: APH, BSX, CME, FCX, FI, GD, GEV, HAS, HLT, LW, MCO, NEE, NTRS, OTIS, T, TMO, TNL // Post-close: CMG, CSX, CYH, GOOGL, IBM, LVS, MAT, MOH, RHI, RJF, RS, TSLA, URI.

EMEA EPS: Unicredit (+4%) & Ubisoft (+4%) trade higher post numbers, while SAP (-3%) and Nokia (-7%) trade lower.

Focus today: Existing Home Sales at 10am + \$14bn 20YR auction

From Privo overnight: Big Japan rally overnight, with NKY futures up over 4%—likely amplified by levered product flows.

Japanese autos surged double digits after a 15% tariff deal caught the market off guard... Think 15% Japan tariffs would have been unthinkable just months ago...now, Japan's stock market is near all-time highs. Another consequence: Political uncertainty in Japan -Ishiba now denying that he will be stepping down after earlier reports from Yomiuri newspaper. The 40yr auction went poorly, long-end yields are pushing higher again. Equities globally haven't cared about this dynamic—but I remain vigilant. These fiscal/structural questions aren't going away...lot of paper around today globally

****WHAT WE'RE WATCHING:**

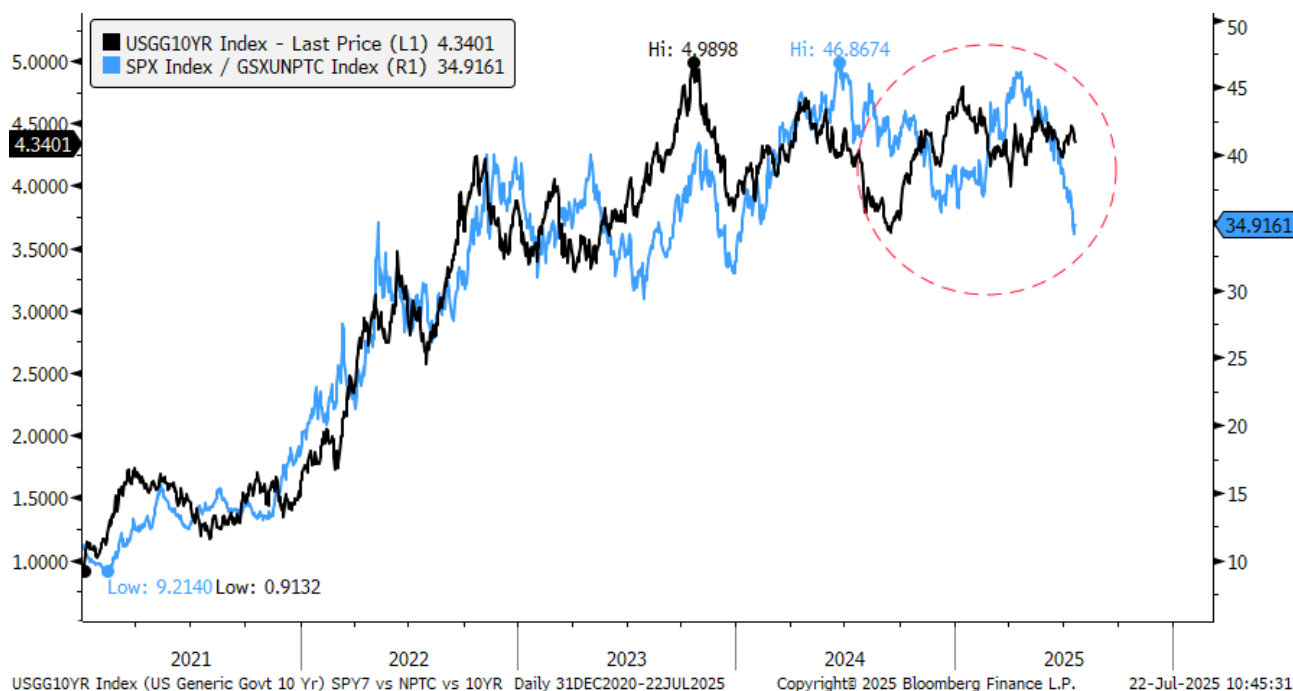
*Non-Profitable Tech: non-profitable tech companies

([GSXUNPTC](#)) is up +21% year-to-date and 66% since the market bottom on April 8th (h/t Faris Mourad)

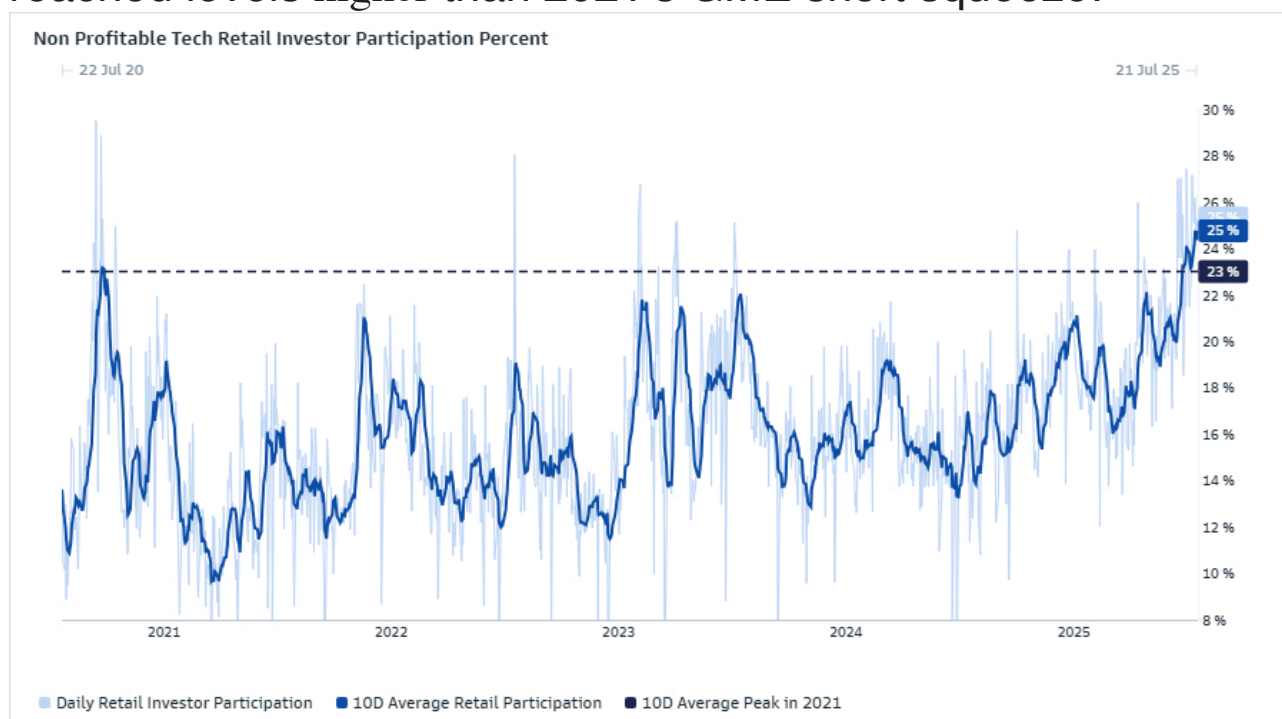
- Correlation to Rates is broken. In the first chart below, the relative performance of non-profitable tech companies to the S&P 500 have always moved in line with the 10yr until the last 12m (circled in red). We notice GSXUNPTC underperformed SPX when rates fell, and outperformed when rates rose.

- Retail participation is higher today relative to 2021's frenzy. Average retail participation in non-profitable tech's current companies reached a high of 23%, relative to 25% currently. Retail investor participation is unpredictable from both a timing perspective and what pocket of the market could be at risk, however we do expect the frenzy to slow as we get closer to the end of the summer. Our basket of stocks we consider to be meme stocks is: GSXUMEME. One potential catalyst could be higher than expected issuance in August in the smid-cap space, so we encourage monitoring the calendar.

Non-Profitable Tech (GSXUNPTC) performance relative to the market has consistently tracked rates until this year's divergence:



On a 10-day average, retail investor participation today has reached levels higher than 2021's GME short squeeze:

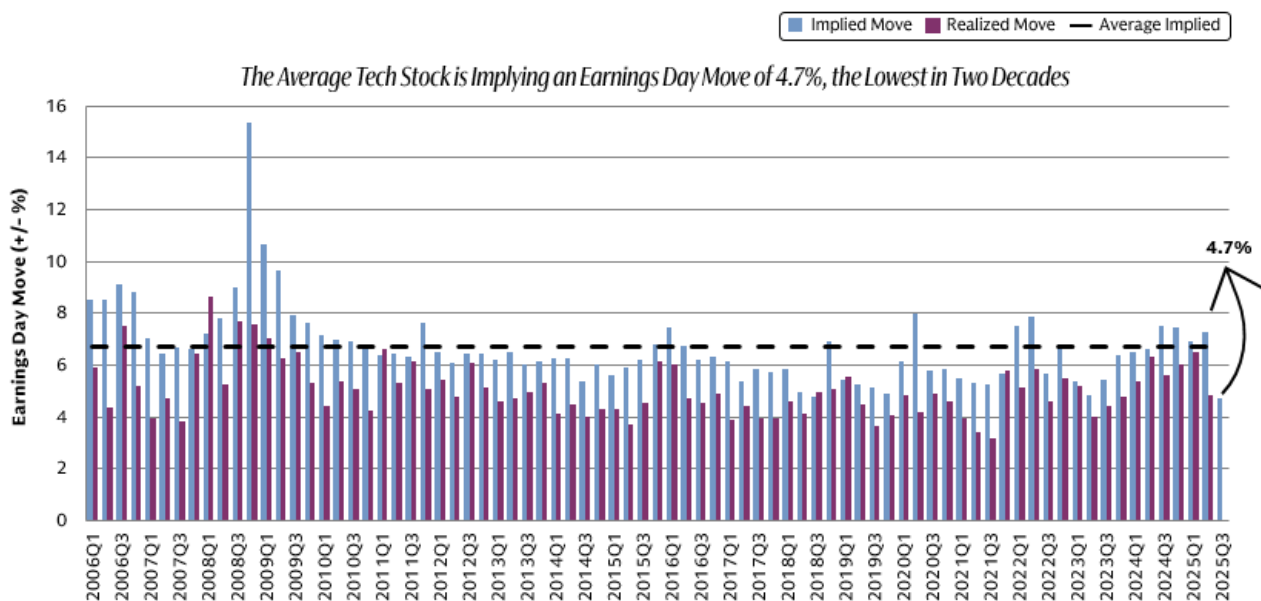


Source: Marquee [PlotTool Pro](#) as of 22 Jul 2025, past performance is not indicative of future returns, access plot [HERE](#)

*Megacap Earnings: Mag7 earnings in focus with GOOGL + TSLA reporting tonight. Reminder, the average Tech stock in S&P 500

is implying an earnings-day-move of 4.7%, the lowest in two decades

-GOOGL -- still broadly underweight even as positioning gotten fuller over last 1.5 weeks with stock now up 10 sessions in a row (and +9% over that stretch). Expectations are for a beat vs street in Cloud and Search -- with top debates expected around cloud accel, clicks growth, and Youtube kpis. DoJ decision looming in next month and could see positive upside on earnings capped as a result (GS Trading)



GS GBM, as of 7/21/2025. Past performance is not indicative of future results

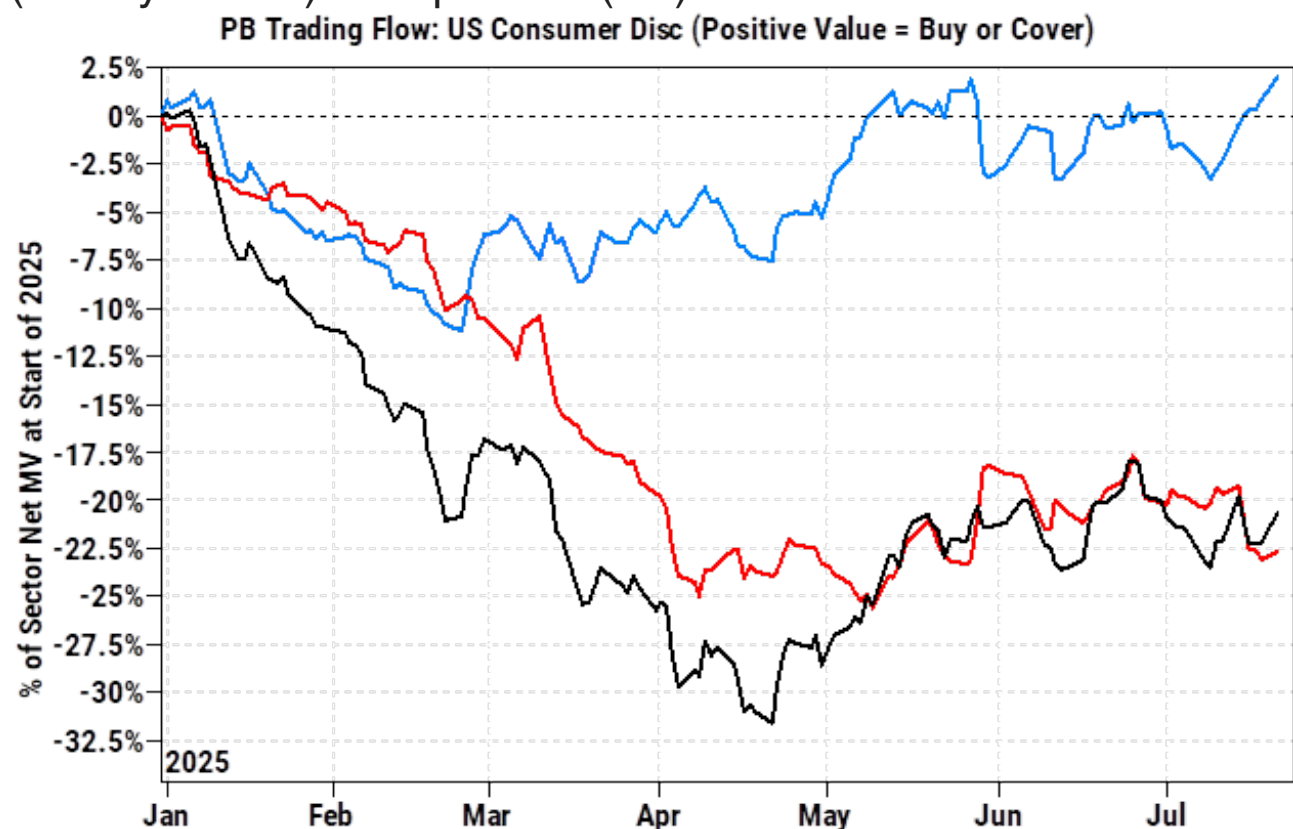
*[5 Points on Consumer](#): Consumer is front and center in the most recent leg of the squeeze and based on a few quick points below, the space will likely remain very topical. (h/t Feiler)

- 1) Consumer is the most shorted sector YTD (GS PB).
- 2) Grosses in Consumer at 5-year lows vs market at 5-year highs.
- 3) Short interest is up across all 4 major consumer groups. (Retail has underperformed by 10%, with short interest +43% YTD // Staples has underperformed the market by 4% YTD and short interest +50% YTD)

4) Positioning on EPS has been mainly wrong way. Is the buying/selling real? (PM felt like a buyers strict with its -8% earnings move the largest down move on an EPS day in 29 quarters // DHI +17% was largest up move on an EPS day going back at least 10 years and its biggest 1 day move since GFC with flows on our desk pointing towards covers yday vs real buying in builders last week)

5) Which singles stood out the most yesterday that were purely positioning and more interestingly, who didn't rally when I maybe would have expected they would have on a squeeze day?

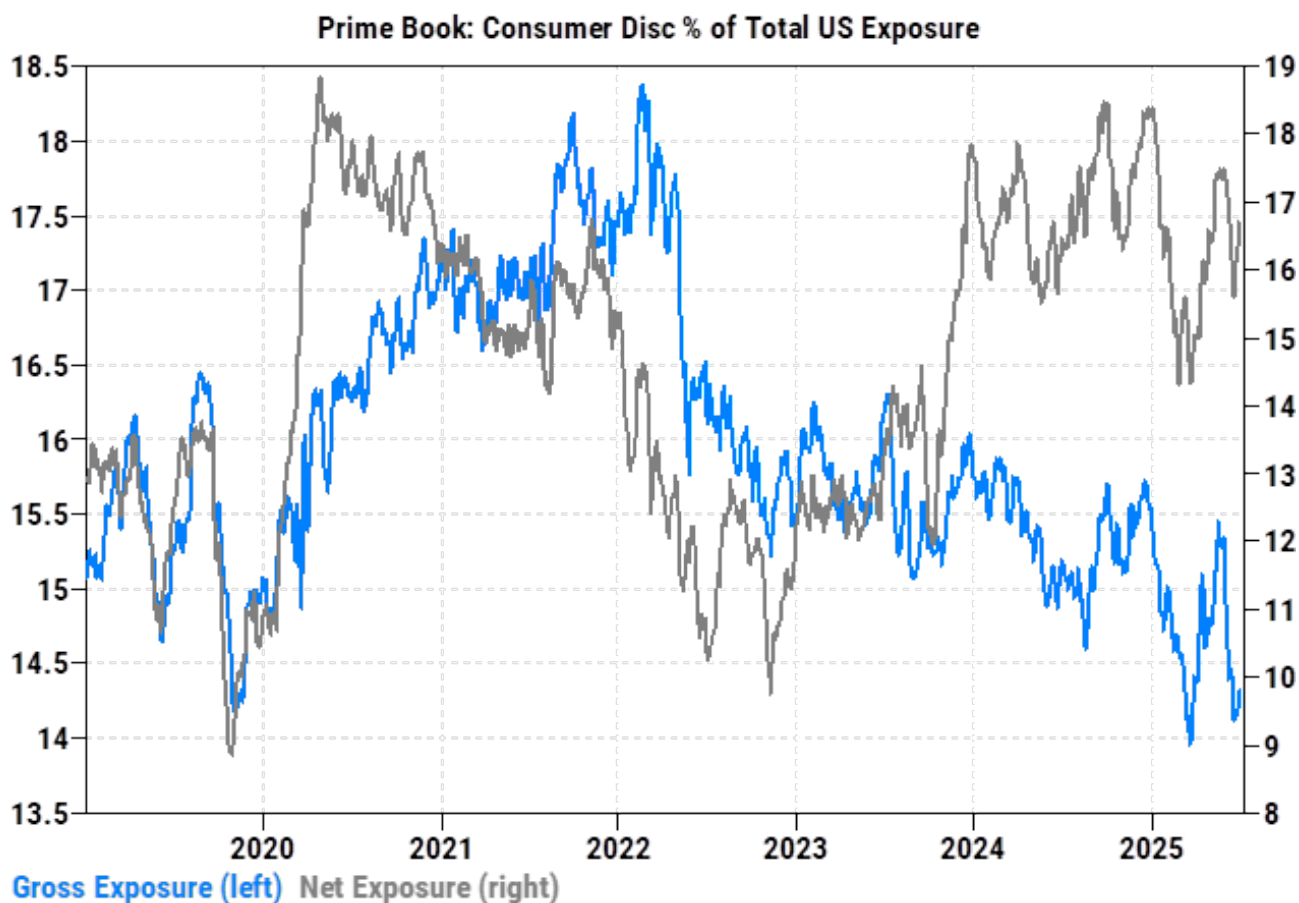
Exhibit 1: The Discretionary Group Has Been the Most Net Sold (Led by Shorts) Group at GS (PB) YTD



Long Flow Short Flow Net Flow

Source: GS PB Data, Vincent Lin & Erin Tolar

Exhibit 2: Gross Exposure in Discretionary Near 5-Year Lows, vs Total Market Exposure Near 5-Year Highs



Source: PB Data, Vincent Lin & Erin Tolar

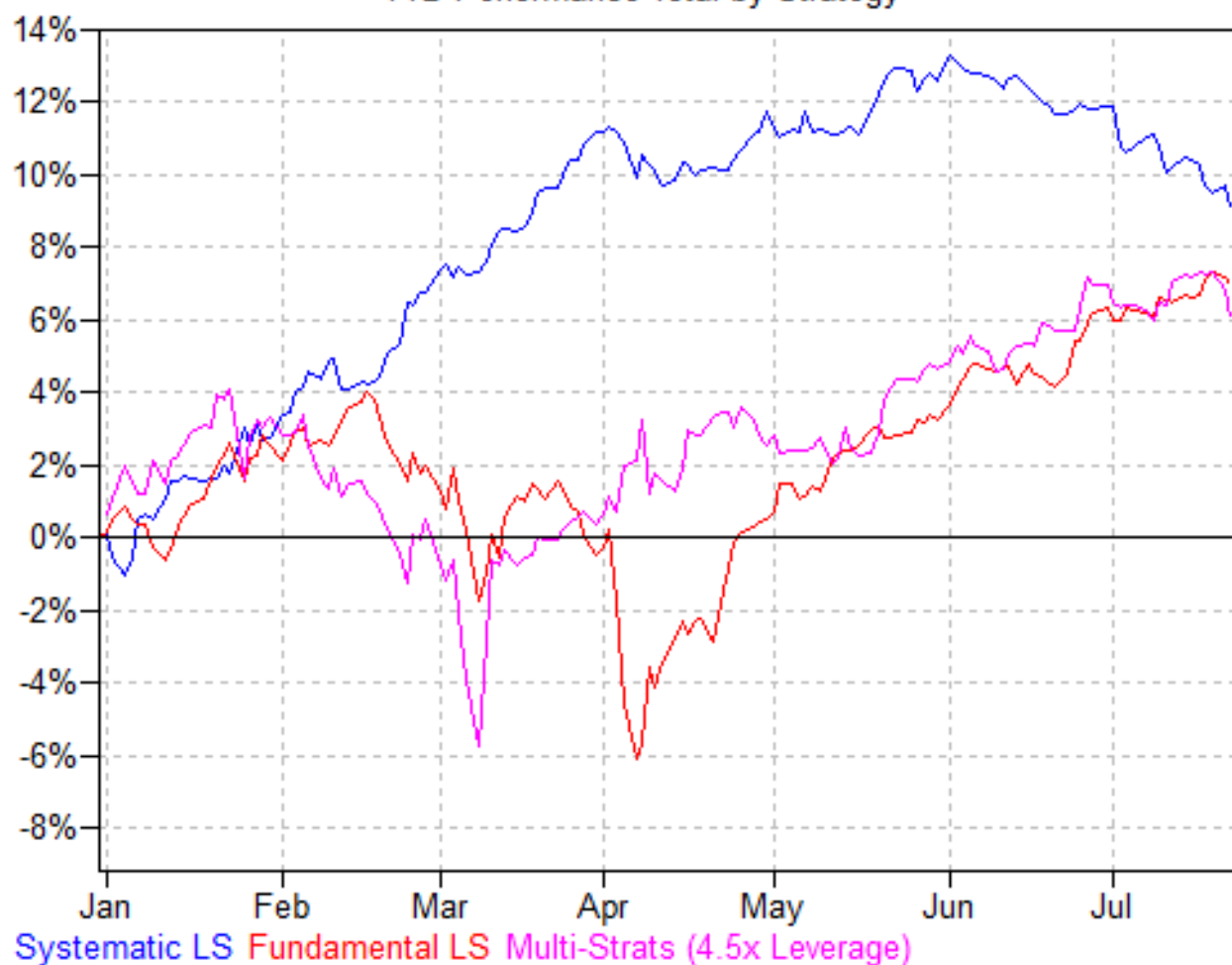
****STANDOUTS FROM YESTERDAY:**

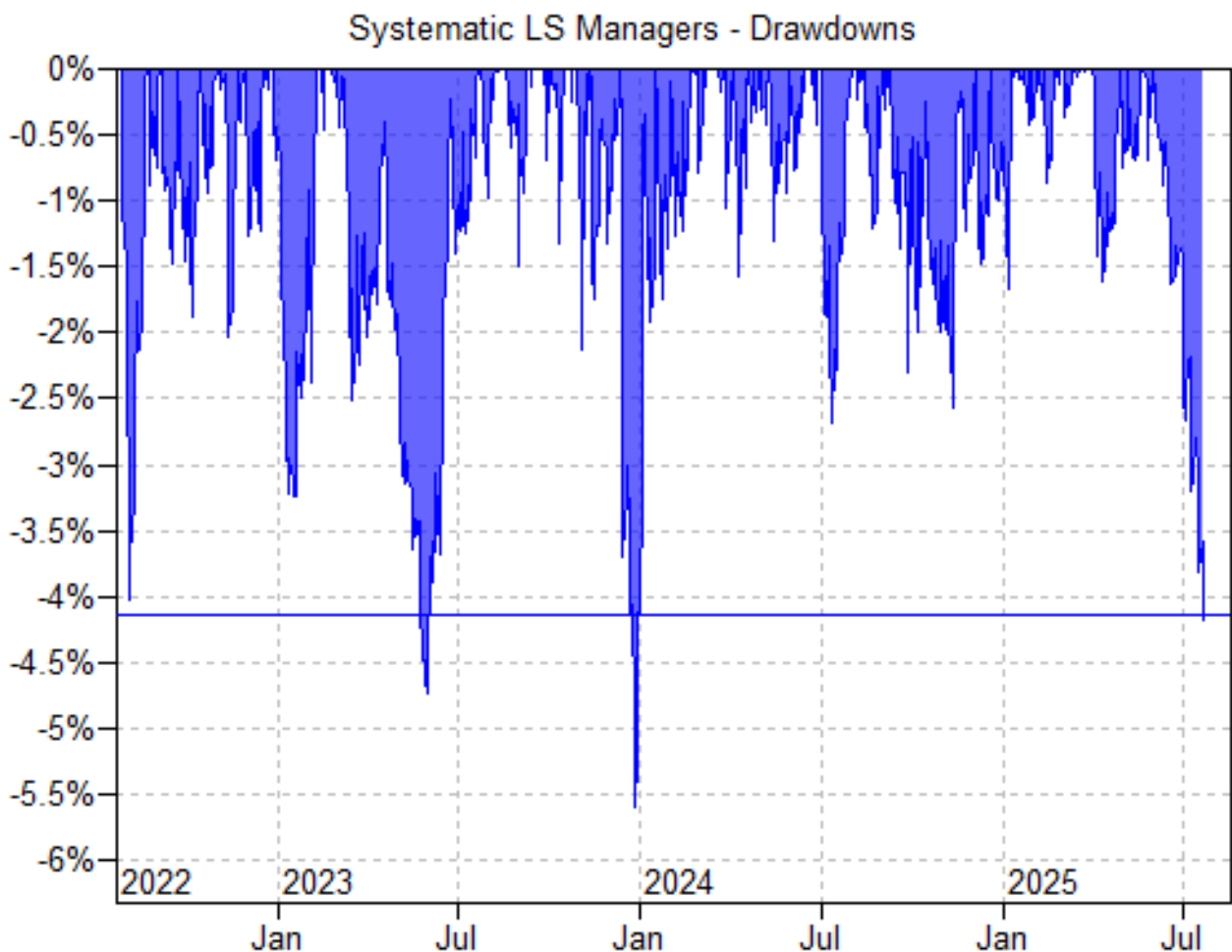
*Flows: Our floor was a 5 on a 1-10 scale in terms of overall activity levels. Our floor finished ~flat vs a 20day avg of +70bps. LOs finished slight net sellers with supply sprinkled across every sector ex-staples. HFs finished small net buyers driven by cover demand across discretionary.

*Chart of the day: Yesterday, our estimates suggest Systematic LS managers down another 0.6% (-1.5 SD), now accumulating a loss of 4.2% since beginning of June. Worst drawdown since end of 2023. YTD performance still up 9.1%, but down from the peak of +13.3% on June 2nd and basically back to mid-March print. Among negative drivers momentum sell-off, rally in high beta/vol name and some unwinding of crowded trades. US equities driving the loss followed by Europe, while the Asia slice

of their portfolio flattish. On the other hand, both Fundamental LS managers and Multi-Strats have printed positive performance and now YTD up 7% and 6% respectively. (h/t Marco Laicini)

YTD Performance Total by Strategy





Source for all charts: Goldman Sachs FICC and Equities and Prime Services data as of July 22, 2025. Past performance is not indicative of future results.

****SINGLES:**

TMT:

- HPE: HP Enterprise price target raised to \$26 from \$21 at Deutsche Bank
- SHOP: Shopify downgraded to Neutral from Buy at Arete
- U: Unity downgraded to Sell from Neutral at BTIG
- SAP: SAP price target raised to \$375 from \$330 at Citizens JMP

- RBLX: Roblox downgraded to Outperform from Strong Buy at Raymond James
- NXPI: NXP Semiconductors price target raised to \$260 from \$250 at Wells Fargo

Fins/REITs:

- AMT: American Tower price target raised to \$246 from \$223 at Barclays
- OZK: Bank OZK price target raised to \$53 from \$48 at Keefe Bruyette
- CHCO: City Holding price target raised to \$135 from \$125 at Keefe Bruyette
- SBAC: SBA Communications price target raised to \$257 from \$247 at Barclays
- CCI: Crown Castle price target raised to \$117 from \$113 at Barclays
- CB: Reported earnings. EPS of \$6.14 beat cons of \$5.97 primarily driven by ~1pp beats on both favorable PYD and the Total P&C underlying combined ratio, partially offset by a 1pp miss on the cat loss ratio.

Industrials/Mats:

- FLNC: Fluence Energy downgraded to Neutral from Buy at Seaport Research
- GE: GE Aerospace price target raised to \$295 from \$230 at Barclays
- PNR: Pentair price target raised to \$117 from \$116 at Barclays
- PNR: Pentair downgraded to Hold from Buy at TD Cowen
- MTUS: Metallus initiated with a Buy at Northcoast
- CNL: CN downgraded to In Line from Outperform at Evercore ISI
- MOS: Mosaic upgraded to Buy from Neutral at UBS
- LXU: LSB Industries downgraded to Neutral from Buy at UBS

- CCK: Crown Holdings price target raised to \$113 from \$110 at Wells Fargo
- GEV: Reported earnings. Q2 EPS \$1.86 vs cons \$1.51 on better revenue \$9.11bn vs cons \$8.81bn. Adj EBITDA came in better \$770mn vs cons \$721.2mn. For FY, guided revenue towards higher end of prior guide \$36-\$37bn and cons \$37.03bn.
- OTIS: Reported earnings. Q2 EPS \$1.05 vs cons \$1.03 on revenue \$3.6bn vs cons \$3.7bn. For FY, guided EPS to \$4-\$4.10 vs cons \$4.09 and lowered revenue guidance to \$14.5-\$14.6bn vs prior guidance \$14.6-\$14.8bn and cons \$14.73bn.

Energy/Utes:

- EQT: EQT Corporation price target raised to \$68 from \$65 at Barclays

Consumer:

- HSY: Hershey price target raised to \$145 from \$120 at Piper Sandler
- TOL: Toll Brothers upgraded to Buy from Neutral at Seaport Research
- BOOT: Boot Barn downgraded to Hold from Buy at Jefferies
- CELH: Celsius Holdings initiated with a Buy at Citi
- PII: Polaris price target raised to \$41 from \$32 at Roth Capital
- TSN: Tyson Foods downgraded to Market Perform from Outperform at Bernstein
- DHI: D.R. Horton price target raised to \$175 from \$160 at Wells Fargo
- PHM: PulteGroup price target raised to \$135 from \$125 at Wells Fargo
- CCL: Carnival price target raised to \$30 from \$24 at Morgan Stanley

- HLT: Reported earnings. 2Q EPS beat at \$2.20 vs \$2.05 and EBITDA nicely above at \$1.01B vs Consensus \$960M. RevPar largely in-line at -0.5% and total revenues beat by 1%. 3Q is guided below with EBITDA \$945M (mid) vs Consensus \$981M and Revpar slightly below at flat to modestly down.

Healthcare:

- CNC: Centene downgraded to Equal Weight from Overweight at Wells Fargo
- SRPT: Sarepta downgraded to Underperform from Neutral at BofA
- MAZE: Maze Therapeutics initiated with a Buy at H.C. Wainwright
- REPL: Replimune downgraded to Neutral from Buy at H.C. Wainwright
- ISRG: Intuitive Surgical price target raised to \$599 from \$559 at Wells Fargo

****EARNINGS:** Pre T, CME, NTRS, TMO, BSX, HLT, FCX, TEL, GEV, GD, LII, HAS, NVR, OTIS, MCO, NEE, FI, TDY, APH, LW // Post TMUS, CMG, PKG, MOH, CSX, ORLY, TSLA, ROL, GL, NOW, GOOGL, CCI, URI, LVS, RJF, IBM

Ticker	Sector	Price	Market Cap (\$M)	Next Report Date	Report Time	Implied Move	Positioning Score**	YTD
HAS	Consumer	\$77.81	\$10,903M	7/23/2025	Before Open	7.5%	8	39.17%
HLT	Consumer	\$272.68	\$64,816M	7/23/2025	Before Open	2.9%	3	10.33%
CMG	Consumer	\$53.93	\$72,663M	7/23/2025	After Mkt	6.5%	4	-10.56%
LVS	Consumer	\$48.67	\$34,392M	7/23/2025	After Mkt	4.2%	7	-5.24%
MAT	Consumer	\$19.38	\$6,258M	7/23/2025	After Mkt	7.5%	6	9.31%
MTH	Consumer	\$69.96	\$5,025M	7/23/2025	After Mkt	0.0%	5	-9.04%
TSLA	Consumer	\$329.65	\$1,061,788M	7/23/2025	After Mkt	5.6%	3	-18.37%
WH	Consumer	\$86.75	\$6,680M	7/23/2025	After Mkt	2.7%	4	-13.93%
GEV	Industrials	\$574.60	\$156,828M	7/23/2025	Before Open	4.6%	10	74.69%
CSX	Industrials	\$34.39	\$64,603M	7/23/2025	After Mkt	2.9%	8	6.57%
URI	Industrials	\$808.05	\$52,522M	7/23/2025	After Mkt	4.7%	7	14.71%
WCN	Industrials	\$182.64	\$47,193M	7/23/2025	After Mkt	1.8%	6	6.45%
OTIS	Industrials	\$99.44	\$39,247M	7/23/2025	Before Open	1.4%	4	7.38%
ROL	Industrials	\$55.80	\$27,043M	7/23/2025	After Mkt	4.6%	6	20.39%
TDY	Industrials	\$563.66	\$26,413M	7/23/2025	Before Open	3.2%	6	21.44%
NVR	Industrials	\$7,422.83	\$21,703M	7/23/2025	Before Open	0.0%	3	-9.24%
LI	Industrials	\$609.43	\$21,626M	7/23/2025	Before Open	5.2%	3	0.02%
PKG	Industrials	\$199.81	\$17,979M	7/23/2025	After Mkt	0.0%	4	-11.25%
GGG	Industrials	\$86.81	\$14,509M	7/23/2025	After Mkt	8.2%	4	2.99%
KNX	Industrials	\$44.66	\$7,237M	7/23/2025	After Mkt	5.4%	6	-15.80%
ALK	Industrials	\$53.15	\$6,452M	7/23/2025	After Mkt	0.0%	6	-17.92%
TMHC	Industrials	\$62.65	\$6,288M	7/23/2025	Before Open	0.0%	3	2.35%
MTH	Industrials	\$69.96	\$5,025M	7/23/2025	After Mkt	0.0%	4	-9.04%
SON	Industrials	\$45.87	\$4,524M	7/23/2025	After Mkt	5.8%	4	-6.10%
ASGN	Industrials	\$48.41	\$2,120M	7/23/2025	After Mkt	0.0%	5	-41.91%
NEE	Energy/Utilities	\$75.95	\$156,353M	7/23/2025	Before Open	3.3%	4	5.94%
NTRS	Financials	\$127.93	\$24,887M	7/23/2025	Before Open	3.4%	6	24.81%
MCO	Financials	\$499.90	\$89,932M	7/23/2025	Before Open	2.6%	7	5.60%
CME	Financials	\$274.70	\$98,991M	7/23/2025	Before Open	2.8%	6	18.29%
FI	Financials	\$165.74	\$91,892M	7/23/2025	Before Open	6.5%	5	-19.32%
RNR	Financials	\$235.96	\$11,479M	7/23/2025	After Mkt	3.9%	4	-5.16%
RJF	Financials	\$160.66	\$32,414M	7/23/2025	After Mkt	3.1%	3	3.43%
BSX	Healthcare	\$103.64	\$153,330M	7/23/2025	Before Open	4.5%	9	16.03%
ICLR	Healthcare	\$143.54	\$11,406M	7/23/2025	After Mkt	7.3%	4	-31.55%
MOH	Healthcare	\$182.98	\$9,918M	7/23/2025	After Mkt	8.4%	4	-37.13%
TMO	Healthcare	\$414.75	\$156,566M	7/23/2025	Before Open	5.5%	4	-20.28%
APH	TMT	\$103.34	\$125,000M	7/23/2025	Before Open	4.7%	7	48.80%
T	TMT	\$26.94	\$193,850M	7/23/2025	Before Open	4.6%	5	18.31%
INFY	TMT	\$18.21	\$75,649M	7/23/2025	Before Open	3.0%	3	-16.93%
GOOGL	TMT	\$185.06	\$2,250,884M	7/23/2025	After Mkt	5.3%	7	-2.24%
IBM	TMT	\$285.87	\$265,687M	7/23/2025	After Mkt	6.6%	6	30.04%
NOW	TMT	\$963.40	\$199,424M	7/23/2025	After Mkt	7.0%	7	-9.12%
TMUS	TMT	\$227.21	\$257,984M	7/23/2025	After Mkt	4.7%	6	2.94%

GS GBM, as of 7/21/2025. Past performance is not indicative of future results.

**GS RATING AND CONVICTION LIST CHANGES:

Source: Trade the News, Street Account, Bloomberg, GIR, GS GMD